

Halqa — Statutory Position and Design Changes

24 September 2026, revision 3. Prepared for Taha Amjed, Chairman. Every quotation has been checked word for word against the text of the instrument named. The texts used are listed in section 8.

Revision 3 replaces four passages attributed to the Payment Systems and Electronic Fund Transfers Act 2007 with the text of the Act: sections 30(1), 31(1), 35(1) and 36(2). It corrects the numbers printed against sections 14 and 56 of that Act, sections 31 and 32 of the Credit Bureaus Act 2015 and sections 7 and 9 of the Electronic Transactions Ordinance 2002. It records that the duties in sections 30, 31 and 36 bind the Financial Institution or Authorized Party, not Halqa. It moves collection onto an electronic money institution partner, removes the last references to a fee graded by seat, and adds the Rules for Payment System Operators and Payment Service Providers 2014, the Regulations for Electronic Money Institutions 2023 and the Corporate Insurance Agents Regulations 2020 at paragraphs 3.8 to 3.10.

1. Position

Halqa requires no financial licence. It does not accept deposits, does not lend, does not intermediate loans between members, does not issue electronic money, does not operate a payment system, does not write insurance and does not operate a credit bureau. Each of those activities is prohibited without authorisation by a specific provision, and each provision is drafted against conduct. Where the conduct does not occur the provision does not engage.

A contribution moves from the paying member's account to the collecting member's account through a licensed electronic money institution, which Halqa instructs as a third party service provider. Halqa's own fee is collected separately and is the only money Halqa receives. Where cover is taken, the takaful contribution passes to a participants risk fund held by a licensed operator. At no point does any part of a payment rest with Halqa other than its own fee.

No regulatory approval is sought and no sandbox participation is pursued. Halqa operates under the general law and reaches the payment system through the partner's licence, under a services agreement rather than a licence of its own.

Three registrations are required to operate, none of them financial: incorporation as a private limited company, a National Tax Number, and a services agreement with a licensed electronic money institution. Two further registrations are required only when the stage they belong to opens: corporate insurance

agent registration before cover is offered, and mutual fund distributor registration before savings are offered. Neither carries a capital requirement of the kind that attaches to a financial licence.

2. Design changes

The design carried from August created exposure to the peer-to-peer lending framework, to the deposit prohibition and to the insurance registration requirement. The changes below remove each exposure at its source. The column on the right identifies the authorisation that the previous design would have required and the new design does not.

2.1 Money paid for turn position

Previous	New	Authorisation avoided
A member taking an early turn paid an early fee which was distributed to the other members. The turn marketplace recorded a premium paid by the buyer of a position to the seller, with Halqa retaining ten per cent.	No money is paid for turn position. The service fee is paid to Halqa as its own revenue and is the same for every seat on the roster. No member receives any sum from another member.	Peer-to-peer service provider permission under the Non-Banking Finance Companies and Notified Entities Regulations 2008: a lending NBFC licence plus additional equity of Rs 20 million.

The regulation defines the activity as follows.

"Peer to Peer Lending" or "P2P Lending" shall mean the extension of loans by the lender to the borrower through the P2P Lending Platform whereas the Platform would be an intermediary providing P2P services through online medium.

NBFC and Notified Entities Regulations 2008, peer-to-peer chapter, inserted by S.R.O. 436(I)/2022.
Secondary source: indexed regulation text; SECP's own copy is not retrievable by automated request.

The definition requires a lender, a borrower and a loan. Where no member advances value to another member and receives more in return, none of the three exists, and the chapter has nothing to attach to. The platform limb is subordinate: it describes what the platform does in relation to a loan that already exists between two persons.

2.2 Compensation of later turns

Previous	New	Authorisation avoided
Members taking later turns were	Members taking later turns are	As above. Compensation flowing

Previous	New	Authorisation avoided
compensated out of the early fee paid by earlier members, by an equal-split dividend or by a pooled distribution weighted toward later positions.	compensated by Halqa, in fee waivers and in points issued against Halqa's own revenue. The compensation is a commercial term between Halqa and the member.	between members is the return on an advance and is the substance the definition is aimed at.

2.3 Turn exchange

Previous	New	Authorisation avoided
Positions could be listed for sale at a premium of up to fifty per cent of the payout, with competitive bidding, on Classic, Priority and Sigma circles.	Turn exchange is a zero-premium swap on every circle. Two members may exchange positions; no consideration passes.	As above.

2.4 Rate computation

Previous	New	Authorisation avoided
The daily-cadence product priced an early collection day by auction and computed an annualised percentage rate on the resulting advance, enforced against a ceiling.	No annualised rate is computed anywhere in the product, and no seat is priced. The service fee is the same for every seat and is paid to Halqa.	Non-banking finance company licence under Part VIIIA of the Companies Ordinance 1984. A computed rate on an advance is the arithmetic of lending and characterises the transaction irrespective of its label.

2.5 Cover against default

Previous	New	Authorisation avoided
Halqa operated a cover facility, funded by an identified fee, which made good a member's loss on another member's default.	Halqa operates no cover facility. Cover is written and priced by a licensed takaful operator and distributed by Halqa as a registered corporate insurance agent. On the daily cadence product a takaful contribution forms a fixed part of every payment and passes to the	Registration as an insurer under the Insurance Ordinance 2000, which is confined to a public company.

Previous	New	Authorisation avoided
	participants risk fund.	

The definition that governs this.

"insurance" means the business of entering into and carrying out policies or contracts, by whatever name called, whereby, in consideration of a premium received, a person promises to make payment to another person contingent upon the happening of an event, specified in the contract, on the happening of which the second-named person suffers loss, and includes reinsurance and retrocession.

Insurance Ordinance 2000, section 2(xxvii).

The words "by whatever name called" defeat any attempt to relabel the facility. The words "in consideration of a premium received" are the operative limb: the previous design satisfied it, the new design does not arise because Halqa makes no promise to make payment on another person's loss. Three features of the takaful structure carry that conclusion. The risk fund belongs to the participants collectively and not to the operator or to Halqa. A surplus in the fund is distributable to the participants. A deficit is met by an interest-free advance from the operator, recoverable only from future surplus. Halqa's position throughout is that of a registered agent earning a disclosed commission.

2.6 Balances and yield

Previous	New	Authorisation avoided
A vault recorded member balances which accrued an indicative money-market rate until withdrawn. Security deposits were held with accrued yield and payouts were held back.	Halqa holds no member money and issues no balance. Savings are held by the Central Depository Company as trustee of a fund managed by a licensed asset management company. Halqa's role is distribution, under an SECP mutual-fund distributor registration.	Two. The deposit prohibition in section 84 of the Companies Act 2017, and an Electronic Money Institution licence under the Payment Systems and Electronic Fund Transfers Act 2007, carrying a capital requirement of Rs 200 million.

2.7 Hosting

Previous	New	Authorisation avoided
Circles of members unknown to one another could run without a named host carrying responsibility	Every circle has a host. The host is identified, accountable for admission to the roster, and is a	Not a licensing point. It removes the anonymous-pool characterisation that invites a

Previous	New	Authorisation avoided
for the roster.	party to the record.	collective-scheme reading.

2.8 Credit data

Previous	New	Authorisation avoided
Halqa was assumed to subscribe to a bureau and request reports in its own right.	Every report is obtained on the member's own instruction, with Halqa acting as the member's duly constituted attorney.	None is available to avoid. Halqa is not a credit institution, so the direct-request route is closed to it by statute and the member-instruction route is the only lawful one.

2.9 The division of a payment

Previous	New	Authorisation avoided
A single amount was taken from the member and Halqa's share was described as a proportion of it. Describing the whole amount as one payment made the company's share look like a deduction from money belonging to the circle.	A payment resolves into three parts at the moment it is taken. The contribution passes to the collecting member and is the only part that enters the pot. The takaful contribution, where cover is attached, passes to the participants risk fund. The service fee is Halqa's own revenue. The three are separately ledgered, separately reconciled and never commingled.	The deposit prohibition in section 84 of the Companies Act 2017. Money that is Halqa's own revenue, charged in advance for a service, is expressly excluded from the meaning of a deposit. Money that never rests with Halqa is not a deposit with Halqa at all.

The exclusion relied on is in the Explanation to section 84, quoted in full at paragraph 3.1. Two consequences follow and are asserted in the product. The pot equals the contribution multiplied by the number of rounds, and nothing else enters it. The service fee and the takaful contribution sit outside that identity and are disclosed separately on the join sheet before commitment.

2.10 The flat fee on the daily cadence

Previous	New	Authorisation avoided
The seat price on the daily cadence varied with the collection day, so a	The service fee on the daily cadence is flat across the whole	Non-banking finance company licence. A price that varies with

Previous	New	Authorisation avoided
member collecting early paid more than a member collecting late.	roster. A member collecting on the first day and a member collecting on the last day pay the same fee. Later seats are compensated by Halqa in points and fee waivers issued against its own revenue.	how long a member waits is a price on time, which is the arithmetic of interest whatever it is called. A flat fee cannot be read that way because it does not vary with the period at all.

The fee remains graded by instalment size and roster size on other cadences, because those gradings price the service rather than the waiting.

2.11 Automatic collection

Previous	New	Authorisation avoided
Collection was assumed to require a manual act by the member on every due date, which is not workable on a daily cadence, or else to require a facility only a licensed institution could hold.	Collection runs on three tiers. Tier one is payment initiation by the electronic money institution partner, which the member approves inside the Halqa application. Tier two is a preauthorized electronic fund transfer taken against a token held by the partner, used where a daily prompt is impractical. Tier three is a transfer the member sends over Raast to the collecting member. Halqa sends a Raast Request to Pay only for its own fee, because a Request to Pay settles to the merchant that sends it.	None. A preauthorized electronic fund transfer is provided for expressly by the payment systems statute, and its duties fall on the Financial Institution that holds the member's account. The partner holds the licence and provides payment initiation to Halqa under paragraph 7.1(f) and (h) of the Regulations for Electronic Money Institutions 2023.

The provision is quoted at paragraph 3.2. A missed collection is recorded as arrears owed to the member left short. It is never recorded as a negative balance held by Halqa, because a balance in either direction would be a claim on the company and would reopen both the deposit reading and the stored-value reading.

3. Statutory authority

3.1 Companies Act 2017 (XIX of 2017)

Section 84, which governs the deposit prohibition and contains the exclusion on which the fee model rests.

84. Prohibition on acceptance of deposits from public.—(1) On and after the commencement of this Act, no company shall invite, accept or renew deposits from the public: Provided that nothing in this sub-section shall apply to a banking company and such other company or class of companies or such deposits as the Commission may, notify in this behalf.

Explanation.—For the purposes of this section, "deposit" means any deposit of money with, and includes any amount borrowed by, a company, but shall not include a loan raised by issue of debentures or a loan obtained from a banking company or financial institution or an advance against sale of goods or provision of services in the ordinary course of business.

(2) Where a company accepts or invites, or allows or causes any other person to accept or invite on its behalf, any deposit, the company shall be punishable— (a) where such contravention relates to the acceptance of any deposit, with penalty which shall not be less than the amount of the deposit so accepted; and (b) where such contravention relates to the invitation for any deposit, shall be liable to a penalty of level 3 on the standard scale.

(3) In addition to the fine on the company under sub-section (2), every officer of the company which is in default shall be punishable with imprisonment for a term which may extend to two years and shall also be liable to fine which may extend to five million rupees.

The final words of the Explanation, "an advance against sale of goods or provision of services in the ordinary course of business", are the authority for Halqa charging its own fee in advance of the service. Such a sum is the company's revenue and is expressly not a deposit.

Section 9, which governs unincorporated associations. This provision was previously cited in Halqa documents as section 509, which is incorrect; section 509 is the repeal and savings clause.

9. Obligation to register certain associations, partnerships as companies.—(1) No association, partnership or entity consisting of more than twenty persons shall be formed for the purpose of carrying on any business that has for its object the acquisition of gain by the association, partnership or entity, or by the individual members thereof, unless it is registered as a company under this Act and any violation of this section shall be an offence punishable under this section.

The operative limb is "for the purpose of carrying on any business that has for its object the acquisition of gain". A rotating savings circle in which each member receives exactly what each member pays in, and in which no member receives a return from another member, has no object of gain. The change at paragraph 2.1 is what secures this, because where members are compensated by one another the object of gain exists and rosters above twenty persons engage the section.

Section 509, which preserves the statutory base of non-banking finance company regulation.

509. Repeal and savings.—(1) The Companies Ordinance, 1984 (XLVII of 1984), hereinafter called as repealed Ordinance, shall stand repealed, except Part VIIIA consisting of sections 282A to 282N, from the date of coming into force of this Act and the provisions of the said Part VIIIA along with all related or connected provisions of the repealed Ordinance shall be applicable mutatis mutandis to Non-banking Finance Companies in a manner as if the repealed Ordinance has not been repealed.

3.2 Payment Systems and Electronic Fund Transfers Act 2007 (VI of 2007)

Definitions, section 2.

(s) "Electronic Fund or Electronic Money" means money transferred through an Electronic Terminal, ATM, telephone instrument, computer, magnetic medium or any other electronic device so as to order, instruct or authorize a banking company, a Financial Institution or any other company or person to debit or credit an account and includes monetary value as represented by a claim on the issuer which is stored in an electronic device or Payment Instrument, issued on receipt of funds of an amount not less in value than the monetary value issued, accepted as means of payment by undertakings other than the issuer ...

(u) "Electronic Money Institution" means an undertaking, that issues means of payment in the form of Electronic Money and is duly authorized to do so.

(za) "Operator" means any financial or other institution or any person, authorized by the State Bank to operate any Designated Payment System.

(zc) "Payment Instrument" means any instrument, whether tangible or intangible, that enables a person to obtain money, goods or services or to otherwise make payment; but excludes Payment Instruments prescribed in Negotiable Instrument Act, 1881 (XXVI of 1881).

(zd) "Payment System" inter-alia means a system relating to payment instruments, or transfer, clearing, payment settlement, supervision, regulation or infrastructure thereof and includes clearing, settlement or transfer of Book Entry Government Securities.

(zi) "Service Provider" includes an operator or any other Electronic Fund Transfer Service Provider.

The electronic money definition turns on "a claim on the issuer which is stored in an electronic device or Payment Instrument, issued on receipt of funds". Halqa issues no claim on itself and receives no funds, so the definition is not met and the licensing provision does not arise.

24. Electronic Money Institution.—(1) An applicant that wants to become an Electronic Money Institution shall submit an application to the State Bank for issue of a license to perform Electronic

Money activity. (2) An Electronic Money Institution may perform only such activities as are specified in its license.

Designation of a payment system is a discretion of the State Bank, not an application made by a participant.

4. Designation of Payment System.—(1) The State Bank may, if it finds it to be necessary in the public interest, by a written order designate a Payment System a Designated Payment System.

Section 35, which is the authority for automatic collection.

35. Preauthorized Transfers.—(1) A preauthorized Electronic Fund Transfer from a Consumer's Account may be authorized by the Consumer either in writing, or in any other accepted form. (2) A consumer may stop payment of a Preauthorized Electronic Fund Transfer by notifying the Financial Institution.

Two consequences follow, and each is built rather than assumed.

Sub-section (1) is the authority for taking the mandate inside the application rather than on paper, because the words "or in any other accepted form" admit an electronic authorisation, and the Electronic Transactions Ordinance 2002 gives that authorisation legal effect. The section requires no copy of the authorisation; the application issues a confirmation in any case.

Sub-section (2) gives the member a stop, exercised by notice to the Financial Institution. Cancelling the mandate is therefore available inside the application at any time and is passed to the partner and to the member's bank at once, without a call or a form. It is separate from the commitment to the circle: a member who cancels a mandate still owes the instalment; what they have withdrawn is the automatic means of paying it.

Three further sections impose duties on the Financial Institution or other Authorized Party that holds the member's account or effects the transfer. They do not bind Halqa, which is neither. The design supports each of them by contract.

30. Terms and Conditions of Transfers.—(1) The terms and conditions of Electronic Fund Transfers involving a Consumer's Account shall be disclosed by a Financial Institution, operator or other Authorized Party in English and in a manner clearly understood by the consumer, at the time the Consumer contracts for an Electronic Fund Transfer service, in accordance with the instructions of the State Bank.
31. Notification of Changes.—(1) A Financial Institution or any other Authorized party, shall notify a Consumer in writing or such other means as may be prescribed by the State Bank from time to time, at least twenty-one days prior to the effective date of any material change in any term or condition of the Consumer's Account required to be disclosed under sub-section (1) of section 29,

unless such change is immediately necessary to maintain or restore the security of an Electronic Fund Transfer system or a Consumer's Account.

36. Notification of error.— ... (2) When an error has occurred, the Financial Institution or the Authorized Party shall investigate the alleged error to determine whether an error has occurred, and report in writing the result of such investigation to the consumer within ten Business Days.

Section 30(2) lists ten matters the disclosure may include, among them the consumer's right to stop a preauthorized transfer and the procedure for doing so. Section 37 requires an error, once found, to be corrected within one Business Day. The design supports each duty: the mandate terms are stated on a screen of their own before authorisation, a material change is notified twenty-one days ahead, and a disputed collection is investigated and answered in writing within ten Business Days, with the mandate suspended while the dispute is open.

Two supervisory powers and one offence apply to any person in the payments chain, licensed or not.

3. Powers of the State Bank.—(1) The State Bank may, generally in respect of this Act, or in respect of any particular provision of this Act, or generally in respect of payment systems, the conduct of all or any of the Service Providers, Operators of Payment Systems or issuers of Payment Instruments, issue such rules, guidelines, circulars, bye-laws, standards or directions as it may consider appropriate.
14. Prohibition of Issuance of Payment Instruments.—(1) The State Bank may, by a written order, prohibit any person from issuing or using any Payment Instrument if, in its opinion – (i) the issuing or use of the Payment Instrument is detrimental to the reliable, safe, efficient and smooth operation of the Payment Systems of Pakistan or monetary policy of the State Bank; (ii) the prohibition is in the interest of the public; or (iii) the Payment Instrument has been issued with an object to entice or defraud the public.
56. Criminal Liability. Whoever knowingly and wilfully gives false information or inaccurate information or fails to provide information which he is required to disclose by this Act or any instruction issued thereunder, or otherwise fails to comply with any provision of this Act shall be punished with imprisonment of either description which may extend to three years, or with fine which may extend to three million rupees, or with both.

3.3 Insurance Ordinance 2000 (XXXIX of 2000)

5. Persons eligible to transact insurance business.—(1) After the commencement date no person other than: (a) a public company; or (b) a body corporate incorporated under the laws of Pakistan (not being a private company or the subsidiary of a private company); shall start any insurance business in Pakistan.
6. Registration of insurers.—(1) No eligible person shall, after the commencement of this Ordinance,

begin or, after the expiry of six months from the commencement date, continue, to carry on any insurance business in Pakistan, unless such eligible person has obtained from the Commission a certificate of registration to carry on insurance business under this Ordinance, and that registration has not been revoked.

Section 5(1) is conclusive on its own: Halqa is a private limited company and is therefore not an eligible person. It cannot transact insurance business at all, with or without registration. This is the reason cover is written by a licensed operator and Halqa is confined to the role of a registered agent.

3.4 Credit Bureaus Act 2015 (XXII of 2015)

Definitions, section 2.

(a) "adverse action" means any action which causes a denial, rejection, cancellation of or reduction in or otherwise any unfavourable result in any transaction involving credit, finance, trade, commerce or employment with respect to a debtor.

(h) "credit bureau" means a public limited company established under the Companies Ordinance which has been granted a licence by the State Bank of Pakistan in accordance with this Act.

(j) "credit information furnisher" means any credit institution, person or entity which provides credit information to a credit bureau including non-financial companies and bodies and other lenders and authorities.

(l) "credit institution" includes — (i) a banking company; (ii) microfinance banks; (iii) a financial institution, which means (a) any company ... which transacts business of banking or any associated or ancillary business ...; (b) a modaraba, leasing company, investment bank, financing company, unit trust or mutual fund of any kind and credit or investment institution, corporation or company; and (c) any company authorized by law to carry on any similar business; (iv) non-banking financial company; and (v) any company, corporation or institution or class of companies or institutions as the Federal Government may from time to time, by notification in the official Gazette, specify for the purpose.

(v) "user" means any person or body which obtains a credit information report from a credit bureau under this Act.

Halqa falls within none of the five limbs of the credit institution definition. It is a user, and it may become a furnisher.

19. Permissible purposes and uses of credit information reports.—(1) A credit bureau may furnish credit information collected, processed, collated, stored and maintained, in accordance with the provisions of this Act and rules made thereunder in the form of a credit information report, under the following circumstances, namely:— (a) on written or electronically received request of a credit

institution; (b) on written or electronic request or instructions of the debtor, to whom it relates, received from such debtor or through a duly constituted attorney thereof; (c) on written or electronically received request from Securities and Exchange Commission of Pakistan to assist them in discharging their regulatory obligations; (d) in Compliance with an order of a competent court having jurisdiction to issue such order; and (e) for any other purpose, which may be prescribed by regulations.

Clause (b) is the whole of Halqa's authority to read a member's record, and it needs no licence. Clause (a) is unavailable.

10. Credit information furnishers to provide credit information.—Notwithstanding anything contrary to any other law for the time being in force or in any agreement entered into between a credit information furnisher and its debtor, credit information furnishers shall provide credit information to credit bureaus, provided that such credit information furnisher is a member of the credit bureau, to which credit information is being provided.
11. Membership of credit bureaus.—(1) Every credit institution shall become a member of at least one credit bureau within a period as may be prescribed by regulations. The membership of other credit information furnisher, other than credit institution, to become a member of credit bureaus shall be notified by the Federal Government accordingly.

Two obligations bind Halqa as a user without any licence being involved, and a third provision gives electronic records their effect.

26. Unauthorized access to or disclosure of credit information.—(1) No one shall obtain access to, or distribute or disclose, credit information in the possession or control of a credit bureau or a credit information furnisher or a user unless such access or distribution or disclosure is authorized by this Act or any other law for the time being in force.
31. Requirements on users.—In the event that any user takes an adverse action with respect to a debtor that is based in whole or in part on any information contained in a credit information report relating to such debtor, such user shall provide to such debtor a copy of the credit information report relied upon, the name, address and telephone number of the credit bureau, which issued the credit information report in question, a copy of the summary of rights set out in the Schedule and a statement that the credit bureau did not make the decision to take the adverse action.
32. Legal recognition of electronic forms.—Any document, record, information, communication, transaction, publication or notice, made under or for the purposes of this Act, whether required or otherwise, shall be deemed valid if made in electronic form.

3.5 Electronic Transactions Ordinance 2002 (LI of 2002)

3. Legal recognition of electronic forms.—No document, record, information, communication or

transaction shall be denied legal recognition, admissibility, effect, validity, proof or enforceability on the ground that it is in electronic form and has not been attested by any witness.

4. Requirement for writing.—The requirement under any law for any document, record, information, communication or transaction to be in written form shall be deemed satisfied where the document record, information communication or transaction is in electronic form, if the same is accessible so as to be usable for subsequent reference.
7. Legal recognition of electronic signatures.—The requirement under any law for affixation of signatures shall be deemed satisfied where electronic signatures or advanced electronic signature are applied.
9. Presumption relating to advanced electronic signature.—In any proceedings, involving an advanced electronic signature, it shall be presumed unless evidence to contrary is adduced, that:
(a) the electronic document affixed with an advanced electronic signature, as is the subject-matter of or identified in a valid accreditation certificate is authentic and has integrity; or (b) the advanced electronic signature is the signature of the person to whom it correlates ...

Sections 3, 4 and 7 together are what allow the collection mandate, the undertaking and the mutual guarantee to be taken inside the application rather than on paper, and what make the stored record admissible.

The Ordinance does not apply to five classes of instrument.

31. Application to certain laws barred.—(1) Subject to sub-section (2), nothing in this Ordinance shall apply to: (a) a negotiable instrument as defined in section 13 of the Negotiable Instruments Act, 1881 (XXVI of 1881); (b) a power-of-attorney under the Powers of Attorney Act, 1881 (VII of 1882); (c) a trust defined to the Trust Act 1882 (II of 1882), but excluding constructive, implied and resulting trusts; (d) a will or any form of testamentary disposition under any law for the time being in force; and (e) a contract for sale or conveyance of immovable property or any interest in such property.

Clause (c) bars the creation or evidencing of an express trust by electronic means. It does not affect the structure at paragraph 2.6, because the fund's trust is constituted by deed executed by the Central Depository Company and the member subscribes to units rather than settling a trust. It does mean that no individual circle may be constituted as an express trust on a member's electronic signature.

Clause (a) is the reason a guarantee cheque is taken on paper and held physically, rather than represented electronically.

3.6 Anti-Money Laundering Act 2010 (VII of 2010)

(xiv) "financial institution" includes any person carrying on any one or more of the following activities,

namely:- (a) acceptance of deposits and other repayable funds from the public; (b) lending in whatsoever form; (c) financial leasing; (d) money or value transfer; (e) issuing and managing means of payments including but not limited to credit and debit cards, cheques, traveller's cheques, money orders, bank drafts and electronic money; (f) financial guarantees and commitments; and (g) trading in — ... (ix) investing, administering or managing funds or money on behalf of other persons; ... (xii) carrying out business as intermediary.

(xxxiv) "reporting entity" means financial institutions and DNFBPs and any other person notified by the Federal Government in the official Gazette.

Halqa does not accept deposits, does not lend, does not transfer money or value, does not issue means of payment and does not administer funds on behalf of others. Limb (d), money or value transfer, is the limb the collection ladder is most likely to be tested against, and the answer is that the transfer is effected by the electronic money institution partner between two accounts, neither of which is Halqa's. Limb (xii) is the only one requiring an opinion, and the question is to be put to counsel in writing.

3.7 Pakistan Penal Code 1860 (XLV of 1860)

294-A. Keeping lottery office. Whoever keeps any office or place for the purpose of drawing any lottery not being a State lottery or a lottery authorized by the Provincial Government shall be punished with imprisonment of either description for a term which may extend to six months, or with fine, or with both.

And whoever publishes any proposal to pay any sum, or to deliver any goods, or to do or forbear doing anything for the benefit of any person, on any event or contingency relative or applicable to the drawing of any ticket, lot, number or figure in any such lottery, shall be punished with fine which may extend to three thousand rupees.

The second paragraph penalises publication, not only operation. No product surface may propose a payment determined by the drawing of a lot.

3.8 Rules for Payment System Operators and Payment Service Providers 2014 (State Bank of Pakistan)

Rule 2(p), which defines the regulated activity.

(p) Payment System Operator and Payment Service Provider (PSO and PSP) means such Authorized Party that is a company registered under Companies Ordinance 1984 and is engaged in operating and/or providing Payment Systems related services like electronic payment gateway, payment scheme, clearing house, ATM Switch, POS Gateway, E-Commerce Gateway etc. acting as an intermediary for multilateral routing, switching and processing of payment transactions.

Halqa routes, switches and processes no payment transaction. It instructs a licensed institution that does,

and is therefore neither an operator nor a provider.

Rule 6.5, which is why the partner must be an electronic money institution rather than a payment service provider.

(5) PSOs and PSPs will not act as custodian of consumer's money or perform any banking function(s) as defined in BCO, 1962.

3.9 Regulations for Electronic Money Institutions 2023 (State Bank of Pakistan)

Paragraph 7.1 lists what an electronic money institution may offer. Three of its clauses are the basis of collection.

(f) Services relating to payment aggregation, bill/invoice aggregation, payment initiation, as well as account information etc.

(g) Offer escrow services for facilitating domestic e-commerce transactions. However, EMIs shall obtain separate approval from SBP.

(h) Offer services via secured Application Programming Interfaces (APIs) and other secure methods to other Financial Institutions, Third Party Service Providers (TPSPs) and other Fintech. In this regard, the EMIs have to intimate SBP 30 days prior to offering these services.

Halqa is a third party service provider under clause (h), and the partner initiates each payment under clause (f). Escrow under clause (g) is not needed, because each payer on the daily cadence pays one collector directly and no day's money is held by anyone.

3.10 Corporate Insurance Agents Regulations 2020 (S.R.O. 1304(I)/2020)

Regulation 1(3), which brings takaful and technology channels within the Regulations.

(3) These Regulations are applicable to all corporate insurance agents of life and non-life insurers including the family and general takaful operators. The relevant provisions of these Regulations are also applicable to the distribution of insurance through technology based distribution channels.

Regulation 5(4), on the premium.

(4) The corporate insurance agent shall always pay the gross premium to the insurer and shall not retain any part of the insurance premium received from the policyholders for payment to the insurer.

Regulation 7(4), on claims.

(4) The insurer shall make the claim settlement directly in the name of the policyholder, life assured, his nominee or guardian, as the case may be.

Regulation 8(2) and (3), on what the agent may earn and charge.

(2) Any commission to be paid by the insurer to the corporate insurance agent must be computed on premiums received by the insurer and under no circumstances the commission on premiums to be received in future, be paid.

(3) The corporate insurance agent shall not charge, to the policyholder, any service fee, processing fee, administration charge or any other charge unless such a charge has been included by the insurer in the premium and communicated to the policyholder in advance.

Regulation 10(c) and regulation 11(1)(d), on how cover is sold.

(c) ensure that no prospect is coerced by the bank insurance executive or the corporate insurance executive or specified Person to buy an insurance product.

(d) for an insurance product which is bundled with any other product offered by the Corporate insurance agent, mention the cost of the insurance product and the other product separately;

The design follows from these. The takaful contribution passes to the operator in full. A claim is paid by the operator to the member left short, in that member's own name, and never to a circle. Halqa's service fee is charged for the committee service only and is never described as, or priced for, the distribution of cover. The cost of cover is shown apart from the cost of the committee. Whether cover that forms a fixed part of every daily payment sits within regulation 10(c) is to be settled by a written opinion of counsel before the daily product opens.

4. Authorisations, required and not required

Instrument	Exact name	Required	Basis
Incorporation	Private limited company, SECP	Required	Companies Act 2017. Prerequisite to everything else
Tax	National Tax Number, Federal Board of Revenue	Required	Prerequisite to the partner agreement
Payment rail	Services agreement with a licensed electronic money institution, with Halqa as a third party service provider	Required. A commercial contract, not an authorisation	Regulations for Electronic Money Institutions 2023, para 7.1(f) and (h). The partner holds the licence and gives the State Bank

Instrument	Exact name	Required	Basis
			30 days' notice before offering its interface services
Fee collection	Merchant agreement with a payment aggregator, for Halqa's own fee only	Required. A commercial contract, not an authorisation	A Raast Request to Pay settles to the merchant that sends it, which is correct for Halqa's own fee and for nothing else
Automatic collection	Mandate facility under the same partner agreement	Required. A commercial term, not an authorisation	PS&EFT Act 2007 s.35(1). The statute provides for a preauthorized transfer and places its duties on the Financial Institution
Credit data, read	Subscriber agreement with a licensed private bureau, exercised on member instruction	Required. A commercial contract, not an authorisation	Credit Bureaus Act 2015, s.19(1)(b)
Credit data, write	Membership of a credit bureau as a credit information furnisher	Conditional	Credit Bureaus Act 2015, s.10 and s.11(1). Membership of a furnisher that is not a credit institution is to be notified by the Federal Government
Cover	Registration as a corporate insurance agent	Required before cover is offered, which includes the daily cadence product	Corporate Insurance Agents Regulations 2020, reg 1(3). Insurance Ordinance 2000 s.5(1) bars Halqa from writing cover itself
Savings, second stage	SECP mutual-fund distributor registration	Required at second stage only	Distribution of units of a fund held by the Central Depository Company as

Instrument	Exact name	Required	Basis
			trustee and managed by a licensed asset management company
Electronic money	Electronic Money Institution licence, State Bank of Pakistan	Not required	PS&EFT Act 2007 s.2(s) and s.24(1). No balance is issued, no funds are received
Non-banking finance company	SECP NBFC licence	Not required	Companies Ordinance 1984 Part VIIIA. No lending occurs and no rate is computed
Peer-to-peer service provider	Permission under NBFC Regulations 2008	Not required	No loan is extended by any member to any other member
Insurer	Certificate of registration, SECP	Not required	Insurance Ordinance 2000 s.6(1). No promise to pay on another's loss is given
Payment system operator or payment service provider	Authorisation under the PSO and PSP Rules 2014, State Bank of Pakistan	Not required	Rule 2(p). Halqa routes, switches and processes no payment transaction. Designation of a payment system under PS&EFT Act 2007 s.4(1) is a discretion of the State Bank, not an application
Credit bureau	Licence, State Bank of Pakistan	Not required	Credit Bureaus Act 2015 s.4. Halqa is a user, never a bureau
Regulatory sandbox	Participation, State Bank of Pakistan	Not sought	No authorisation is required for the restructured design, and no approval is applied for

5. Capital and penalty data

Item	Figure	Source
Electronic Money Institution, initial capital	Rs 200,000,000	Regulations for Electronic Money Institutions 2023, para 11.I
Electronic Money Institution, ongoing capital	Rs 200,000,000 while outstanding e-money is below Rs 4 billion, rising in slabs to Rs 1,250,000,000 plus 10 per cent of balances above Rs 20 billion	As above
Electronic Money Institution, security deposit	10 per cent of required capital, held with the State Bank	As above, para 11.III
Payment system operator or payment service provider, capital	Rs 200,000,000, plus 25 per cent for each additional business application	PSO and PSP Rules 2014, rules 4.1 and 4.2
Payment system operator or payment service provider, security deposit	10 per cent of required capital	As above, rule 4.3
Peer-to-peer service provider, additional equity	Rs 20,000,000 above the lending NBFC minimum	NBFC Regulations 2008. Secondary
Peer-to-peer, aggregate borrower cap across platforms	Rs 1,000,000	As above. Secondary
Peer-to-peer, single lender exposure to one borrower	Rs 500,000	As above. Secondary
Corporate insurance agent registration, capital	None stated	Corporate Insurance Agents Regulations 2020, read in full
Deposit taken without authorisation, company penalty	Not less than the amount of the deposit accepted	Companies Act 2017 s.84(2)(a)
Deposit invited without authorisation, company penalty	Level 3 on the standard scale	Companies Act 2017 s.84(2)(b)

Item	Figure	Source
Deposit offence, officer in default	Imprisonment up to 2 years and fine up to Rs 5,000,000	Companies Act 2017 s.84(3)
Unauthorised access to or disclosure of credit information	Fine up to Rs 5,000,000, or imprisonment up to 3 months, or both	Credit Bureaus Act 2015 s.26(2)
Credit institution failing to hold bureau membership	Fine up to Rs 1,000,000, and Rs 50,000 per day continuing	Credit Bureaus Act 2015 s.11(5)
Non-compliance with the payment systems statute	Imprisonment up to 3 years, or fine up to Rs 3,000,000, or both	PS&EFT Act 2007 s.56
Keeping a lottery office	Imprisonment up to 6 months, or fine, or both	Pakistan Penal Code s.294-A
Publishing a lottery proposal	Fine up to Rs 3,000	Pakistan Penal Code s.294-A

6. Obligations, and who owes them

Obligation	Clause	Status
Disclose the terms of an electronic fund transfer service when the member contracts for it. Owed by the Financial Institution or other Authorized Party	PS&EFT Act 2007 s.30(1)	Supported: mandate terms stated on a screen of their own before authorisation
Honour a stop on a preauthorized transfer, notified to the Financial Institution	PS&EFT Act 2007 s.35(2)	Supported: cancellation inside the application, passed to the partner and the bank at once
Give twenty-one days' notice of a material change in a term that must be disclosed. Owed by the Financial Institution or other Authorized Party	PS&EFT Act 2007 s.31(1)	Supported: notice built into the mandate record for any changed amount or ceiling
Investigate an alleged error, report in writing within ten Business Days,	PS&EFT Act 2007 s.36(2) and s.37	Supported: dispute path, with the mandate suspended while open

Obligation	Clause	Status
and correct a confirmed error within one Business Day. Owed by the Financial Institution or the Authorized Party		
On refusing or restricting a member's seat on the strength of a bureau report, furnish the report, the bureau's name, address and telephone number, the statutory summary of rights, and a statement that the bureau did not make the decision	Credit Bureaus Act 2015 s.31, with s.2(a)	To be built before any score-based restriction operates
Disclose credit information only as authorised, including within a circle	Credit Bureaus Act 2015 s.26	Member-visible scores to be reviewed
Obtain each report on the member's own instruction, with consent wording constituting Halqa the member's attorney	Credit Bureaus Act 2015 s.19(1)(b)	Consent text to be drafted to that standard
Determine whether limb (xii) of the financial institution definition applies	AML Act 2010 s.2(xiv) and s.2(xxxiv)	Written opinion of counsel
Publish no proposal to pay a sum determined by the drawing of a lot	Pakistan Penal Code s.294-A	No prize-draw surface to be exposed
Pay the takaful contribution to the operator in full and retain none of it	Corporate Insurance Agents Regulations 2020, reg 5(4)	Contribution passed to the operator at source
Charge the member nothing for cover beyond what the operator includes in the premium	As above, reg 8(3)	The service fee is charged for the committee service only
State the cost of cover apart from the cost of the committee	As above, reg 11(1)(d)	Shown separately on the join sheet
Coerce no one into buying cover	As above, reg 10(c)	Compulsory cover on the daily

Obligation	Clause	Status
		product referred to counsel before it opens

7. Implementation

The following constructs implement the previous design and are to be removed before the partner agreement is executed.

1. The turn premium recorded from buyer to seller, and the ten per cent marketplace fee taken on it.
2. The early fee distributed to members.
3. Member-held balances accruing an indicative rate.
4. Security deposits held with accrued yield, and payout holdbacks.
5. Every annualised rate computation and every rate ceiling.
6. The prize-draw surface.
7. Any seat price that varies with the collection day, on any cadence.

The following are to be built before the first live collection.

1. The three way split, with each part written to its own ledger account.
2. The two identity assertions at circle creation.
3. The mandate register, the authorisation screen, the confirmation, the cancellation and the advance notice.
4. The arrears record, expressed as owed to the member left short and never as a balance.
5. The bureau instruction screen and the adverse action pack.
6. The fee schedule surface stating every charge before commitment.
7. Payment initiation and the mandate through the partner's interface, with Halqa's fee collected separately.

8. Sources

Instrument	Text used
Companies Act 2017	Gazette of Pakistan, Extraordinary, 31 May 2017, 430 pages
Payment Systems and Electronic Fund Transfers Act	Pakistan Code consolidated text, read in full

Instrument	Text used
2007	
Credit Bureaus Act 2015	Pakistan Code consolidated text, updated to 3 August 2022
Insurance Ordinance 2000	Consolidated text, 105 pages
Anti-Money Laundering Act 2010	Financial Monitoring Unit consolidated text
Electronic Transactions Ordinance 2002	Pakistan Code text, read in full
Pakistan Penal Code 1860	Consolidated text, last amended 22 March 2016
NBFC and Notified Entities Regulations 2008, peer-to-peer chapter	S.R.O. 436(I)/2022, as amended November 2025. Indexed regulation text and law-firm commentary; SECP's own copy is not retrievable by automated request
Rules for Payment System Operators and Payment Service Providers 2014	State Bank of Pakistan, Payment Systems Department, 24 pages, read in full
Regulations for Electronic Money Institutions 2023	State Bank of Pakistan, Payment Systems Policy and Oversight Department, 52 pages, read in full
Corporate Insurance Agents Regulations 2020	S.R.O. 1304(I)/2020, Gazette of Pakistan, 5 December 2020, 43 pages, read in full
Raast person to merchant Request to Pay	Product terms of Bank Alfalah, a Raast participant

This document states a statutory position. It is not legal advice and requires confirmation by Pakistani counsel before it is relied upon in any agreement, application or representation to a third party.